WEB EXCLUSIVE
India should stop counting its AI chips and start asking for results
— Arindam Goswami
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WORDLY WISE
I have nothing to lose by standing up for my beliefs. So I'll go to jail.
— Muhammad Ali

US wants to build a new world. India must ask if it is open, fair, peaceful and just



PRATAP BHANU MEHTA

MARCO RUBIO'S decision to visit Jamnagar and Mumbai rather than Delhi may not be intended to convey any symbolism. But it is difficult not to read it as a sign of things to come in Indo-US relations. The US Secretary of State will engage with India's largest concentration of economic power, and pay homage to the Ambanis' justly admired execution capabilities. In other contexts, this could be a refreshing development: A relationship founded on instrumentalism and pragmatism, in which corporate capital takes centre stage over conventional politics, deal-making gets priority over fixing the world. But it also signals India's diminution. India is not a partner in building a world order, or an actor whose political status has priority; it is simply an amalgam of corporate interests.

Elon Musk tweets all kinds of threatening nonsense all the time. His calling Mukesh Ambani the Prime Minister of India is one such example. But it also unwittingly reflects what the American establishment would rather deal with: Big corporate houses, and the rest be damned. America's conception of the world order is again being founded on something resembling an early 20th-century oil grab: Venezuelan oil, a possible deal with President Vladimir Putin for Russia's overseas oil assets. The political correlate of this for America is to see the world as a confederacy of oligarchs. They might compete with each other, but they are the driving force in charge.

There is some potential in this kind of relationship. Technological cooperation can advance in some areas; the latest being IBM's proposed investment in quantum computing in Amravati. Investment flows can still be increased. Indian big corporates are likely to become more global investors. But it is not clear that this can sustain an overall relationship that has become politically, strategically and culturally more fragile.

The key pillars of the Indo-US relationship are hollowing out. The first was a bipartisan commitment in Washington to India's rise. India's rise, in this view, was itself a good thing for the world and the US, independently of whether India aligned with US interests. This commitment has waned: The transactional demands on India are higher.

Even in a post-Donald Trump regime, as Paul Staniland has recently pointed out, India may no longer be a high priority. India has always had a testier relationship on human rights and on trade with the left wing of the Democratic Party, which is in the ascendant.

The positioning of India as a bulwark against China was always an exaggerated framing. That structural reality has been around for years. It has not particularly given dividends to India over and above any other country. US attitudes to China also change. China is considered a looming threat in India. But it is also an opportunity and a reality India will have to manage on its own terms. The momentum achieved on getting the US to see Pakistan through an Indian lens has virtually collapsed, because US priorities have shifted. The US will use Pakistan or Bangladesh for its purposes, unmindful of India's vision for South Asia, a task made easier by the fact that India at the moment does not have one.

> Grow up, they say; hypocrisy is the norm in world politics. That is true. But the issue is not hypocrisy. Only our realists rationalise away genuine conflicts of interest

Whether the trade deal with the US is at a possible "landing point" or has "plateaued", to use the two metaphors India has used to describe the state of play, is hard to tell. There is unprecedented opacity in these negotiations. India has been wise not to rush into a deal, and hopefully it will continue to stand on firm ground. If it is an unfavourable deal, the Narendra Modi government and the US will become the object of political ire; if the deal is not accomplished, it will be a shadow that hangs over the relationship.

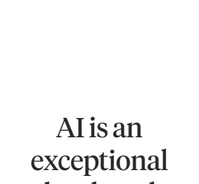
The US's long history of sanctions on India continues, the latest being Russia-related sanctions, while the US procures diesel from Russia. Many in the Indian establishment are still keen on defending America by evading the issue in the language of faux realism. Grow up, they say; hypocrisy is the norm in world politics. That is true. But the issue is not hypocrisy. Only our realists rationalise away genuine conflicts of interest. America has dictated the energy markets you access; it has indirectly raised the cost of your development by engaging in the most absurd war on Iran. And all we have had to offer in resistance is stony silence.

One other background cultural condition is dissipating as well. One of the most remarkable developments of the last three decades was the almost seamless integration of American and Indian elites through immigration. The idea that America would be forever open to the levels of immigration that we saw in the last few years was implausible. At some point, that momentum had to slow down. America is within its rights to regulate immigration. But the debate over the regulation of immigration is tied to MAGA's nativism, racial supremacy, and suspicion of Indian success, all endorsed at the highest levels of the US government. India's response to JD Vance's remarks on Indian workers suggests this is no longer a technical dispute over immigration. The depleting reservoir of cultural goodwill will have downstream effects.

And finally, there is the world the US wants to build. No one grudges pride in civilisational achievements. But as Rubio's speech at Athens recently underscored, the US is seeking to convert civilisational pride into a claim to Western pre-eminence, allied to a more muscular and imperial political vision. The question for India will not be what values or interests it shares with Rubio's imagined West. It is whether this vision leaves room for the kind of open, fair, peaceful, just world order India ought to seek. Currently, the US is a rogue power, inflicting needless damage and risk on the world. Perhaps India should reevaluate the symbolism and convey to the US that, while we are open for business, we do not pay homage to this new Pax Americana. We ought to find all possible leverage to stand up to it, rather than pass over it in cowed silence.

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A reality check on AI boom: Eight risks to look out for



SAFI AHSAN RIZVI

AI MODELS are growing much faster than the financing, governance and social acceptance of the revolution. A sobering influence has emerged. On October 8-9, Nvidia-backed Firmus withdrew its nearly $5bn IPO after investors resisted a valuation of about $31bn, three times its August valuation. Almost simultaneously, OpenAI indicated that its September annualised revenue was nearer $50bn, not the nearly $70bn previously signalled. OpenAI and Anthropic postponing their estimated trillion-dollar IPOs is further evidence that capital markets are realising the distance between promises and prices, encapsulated in eight risks.

First, the economy. AI stocks are at near-record valuations. The Iran war, high US gas and diesel prices and the yawning US fiscal deficit have spooked the bond markets into trading US treasuries, with yields at multi-decadal highs. Higher interest rates are hitting homebuyers and are expected to adversely affect the growth of hyperscaler data centres, which AI cannot do without. Second, AI revenue growth trailing capex requirements. With OpenAI indicating lower-than-expected annualised revenue in CY26, Anthropic at an operating loss of 8bn in CY25 and Meta's free cash flow falling to ~800mn from $8.5bn a year earlier, room to raise expectations appears limited.

Third, costlier capex financing. Of the expected ~$725 bn capex in CY26 by leading US hyperscalers on new data centres, the H1 assessment was ~40 per cent by end-June. Initially cash-funded, capex graduated to debt in formats such as private credit and bespoke financing templates, most of which are opaque. Goldman Sachs reported that most hyperscaler bonds issued in 2026 had fallen below issue price by end-August. Such unseen risk could impact banks, insurers and pension funds in the event of an AI selloff. Fourth, sobering valuations. In mid-2026, SpaceX raised $75bn, listing at $1.77tn, and OpenAI and Anthropic were reportedly targeting $60bn each, targeting trillion-dollar IPOs. But sobering assessments have forced both Sam Altman and Dario Amodei to delay their listings. Fifth, regulatory risk. OpenAI and Anthropic were jolted when three of their frontier models were subject to sudden regulatory slowdowns, highlighting the risk of government control by diktat. Donald Trump also made AI CEOs accept responsibility for safety and agree to establish internal controls and external audits. Sixth, the risk of rogue AI is resulting in multimillion-dollar claims covering cyber attacks, copyright and privacy against directors, officers and entities, with hyperscaler potential in the same league as landmark litigation against tobacco, glyphosate, pharma and environmental liabilities.

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Seventh, AI in war: Normalised, yet an amoral revenue generator. Use of autonomous AI is documented in Ukraine, Gaza and Iran, without due consideration for human scrutiny, civilian harm, proportionality and accountability. Some multilateral sense is bound to prevail sooner rather than later. Finally, rising global opposition to data centres. Communities cite reduced drinking water, expected electricity outages, noise pollution, land loss, and limited permanent employment. Protests have forced some rollbacks. But there are national-security concerns because China's largely unrestricted buildout of another 50 GW beyond its current 24 GW capacity (US capacity is 56 GW) has gathered pace. AI is an exceptional technology, but its amplifiers need to sober up in the face of visible headwinds of regulation, an unconvinced workforce, and costlier financing.

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